

VERSION NO. 1	MANUAL TITLE FINANCE AND ADMINISTRATION MANUAL	DOCUMENT NO. FAM 6.02
	DOCUMENT NAME MONITORING OF ACCOUNTS RECEIVABLES	REVISION NO. 0
		EFFECTIVITY DATE SEPTEMBER 2, 2019
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1.0 OBJECTIVES

- 1.1 To effectively control and monitor accounts receivable in order to maintain the healthy cash flow of the University.
- 1.2 To recognize timely potential collection problems of accounts receivable.
- 1.3 To immediately take action on past due accounts.

2.0 SCOPE

These procedures apply to all accounts receivable arising from the official transactions of the University such as from the operations of the LNU House, of the LNU Cafeteria, and Inter-Agency transaction with the Commission on Higher Education (CHED) for the implementation of the Free Higher Education, among others.

3.0 POLICIES

- 3.1 Any records which may contain personal information shall be handled in accordance with Republic Act 10173 or the Data Privacy Act of 2012.
- 3.2 Any request for information shall be governed by Executive Order No. 02, series of 2016 or the Freedom of Information.
- 3.3 Accounts Receivable should be collected in a timely manner.
- 3.4 Credentials and official records of Undergraduate students will not be released if they still have unpaid school fees prior to the implementation of the Free Higher Education.
- 3.5 Credentials and official records of ILS/PLC and Masters/Doctoral students will only be released upon settlement of all their assessed school fees.
- 3.6 Accounts Receivable that are outstanding for more than 365 days or 1 year are considered past due already.
- 3.7 Demand Letters should be sent to the debtors for those past due accounts.

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4.0 PROCEDURES

4.1 Accounts Receivable from the Undergraduate and Masters/Doctoral Students

Responsibility`	Activity
Student	1. Submits Application for Student Records, Enrolment and Assessment Form (EAF) or Clearance to Accounting Staff-4
Accounting Staff-4	2. Checks the ledger/account of the student using the Student Information and Accounting System (SIAS). 3. Undergraduate: If the student has accountabilities prior to the implementation of the Free Higher Education, advises the student to settle them first. Masters/Doctoral: If the student has accountabilities, advises the student to settle them first.
Student	4. Settles accountabilities at the Cash Management Office. Informs Accounting Staff-4 and submits proof.
Accounting Staff-4	5. If there are no more accountabilities, signs the Application for Student Records, EAF, or Clearance of the student.

4.2 Accounts Receivable from the Integrated Laboratory School (ILS) and Preparatory Learning School (PLC) Students

Responsibility	Activity
Accounting Staff-4	1. Receives the Clearances of the students from the Adviser. 2. Checks the ledger of the students for their accountabilities. 3. If the student has no accountabilities already, countersigns the Clearance and forwards them to the Accountant.
Accountant	4. If there are accountabilities, returns the Clearance to the Adviser so as to advise and inform the parents to settle them first.
Adviser	5. Informs and advises parents/students of their accountabilities to be settled.
Student/parent	6. Settles accountabilities with the Cash Management Office. Returns the Clearance to the Accountant together with the Official Receipt as proof of payment.
Accountant	7. If there are no more accountabilities, signs the Clearance.

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4.3 Accounts Receivable from Commission on Higher Education (CHED) relative to Free Higher Education

Responsibility	Activity
Accountant	1. Thirty (30) days after the submission of the Free Higher Education Billing to the Commission on Higher Education (CHED), monitors if the payment has been downloaded already to the account of the University 2. If there is still no payment after 30 days from the submission of the billing, communicates weekly to CHED through e-mail to their official e-mail address ra10931freehe.unifast@ched.gov.ph so as to keep us abreast with the status and comply any deficiencies if there are. Carbon Copies (CC) of the e-mail will also be sent to the University President, VP for Administration and Finance, CAO-Finance, Scholarship Coordinator, and other concerned officials/ offices.
	3. Complies any deficiencies.

4.4 Accounts Receivable from Employees

Responsibility	Activity
Employees	1. Submit Promissory Notes to the Accounting Office.
Accounting Staff-7	2. Prepares Summary of all the Promissory Notes received from the employees for the payment of school fees of their children including books, for the payment of their own school fees at the Graduate School, among others. The Summary shall include a column if which particular claim of the employee (e.g. midyear bonus, year-end bonus, CNA Incentive, IGP Incentive, Honoraria, etc.) the said the accountability will be charged or deducted from. 3. Furnish the Payroll Preparer, Accounting Staff, a copy of the Summary so that it can be deducted to the claims of the employees.
Accounting Staff-2	4. Effects the deduction in the payroll.

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4.5 Accounts Receivable from Other Debtors

Responsibility	Activity
Accountant	1. Generates the Schedule of Accounts Receivable with Aging using the eNGAS System. 2. Sort those accounts with age of over 1 year. 3. Prepares Demand Letters to those debtors with accounts aging over 1 year. 4. Forwards copies of the demand letters to the University President for signature.
University President	5. Signs the Demand Letters.
Records Management Staff	6. Sends the Demand Letters to the debtors through a courier if necessary.

5.0 LIST OF FORMS

- 5.1 Enrollment and Assessment Form (EAF)
- 5.2 Application for Student Records
- 5.3 Clearance
- 5.4 Promissory Note